

the electronics business, things change so fast that one year's \$73-million inventory could be a \$20-million inventory the next. Who knows what they could really get for it in a fire sale?

Applied Materials, on the other hand, had only \$17 million in debt and \$36 million in cash.

When the electronic-components business picked up, Applied Materials rebounded from \$8 to \$36, but GCA wasn't around to enjoy the revival. One company went kaput and was bought out at about 10 cents a share, while the other went up more than fourfold. The debt burden was the difference.

It's the kind of debt, as much as the actual amount, that separates the winners from the losers in a crisis. There's bank debt and there's funded debt.

Bank debt (the worst kind, and the kind that GCA had) is due on demand. It doesn't have to come from a bank. It can also take the form of commercial paper, which is loaned from one company to another for short periods of time. The important thing is that it's due very soon, and sometimes even "due on call." That means that the lender can ask for his money back at the first sign of trouble. If the borrower can't pay back the money, it's off to [Chapter 11](#). Creditors strip the company, and there's nothing left for the shareholders after they get through with it.

Funded debt (the best kind, from the shareholder's point of view) can never be called in no matter how bleak the situation, as long as the borrower continues to pay the interest. The principal may not be due for 15, 20, or 30 years. Funded debt usually takes the form of regular corporate bonds with long maturities. Corporate bonds may be upgraded or downgraded by the rating agencies depending on the financial health of the company, but whatever happens, the bondholders cannot demand immediate repayment of principal the way a bank can. Sometimes even the interest payments can be deferred. Funded debt gives companies time to wiggle out of trouble. (In one of the footnotes of a typical annual report, the company gives a breakdown of its long-term debt, the interest that is being paid, and the dates that the debt is due.)

I pay particular attention to the debt structure, as well as to the amount of the debt, when I'm evaluating a turnaround like Chrysler. Everyone knew that Chrysler had debt problems. In the famous bailout arrangement, the key element was that the government guaranteed a \$1.4-billion loan in return for some stock options. Later the government sold these stock options and actually made a big profit on the deal, but at the time you couldn't have predicted that. What you could have realized, though, was that Chrysler's loan arrangement gave the company room to maneuver.

I also saw that Chrysler had \$1 billion in cash, and that it had recently sold off its tank division to General Dynamics for another \$336 million. True,